

Independent Directors - Risk & Rewards



AGENDA



Independent Directors – Overview

Introduction to independent directors, their role, responsibilities, challenges, and how they differ from other board members, along with key trends and considerations before appointment



Regulatory Framework for Independent Directors

Overview of eligibility, appointment process, remuneration and mandatory capacity-building requirements governing independent directors



Oversight of Related Party Transactions

Understanding the critical role of independent directors in reviewing, approving, and safeguarding fairness in related party transactions.



Practical Perspectives

Real-world case studies highlighting independent directors in action.

Let's get to know the room

Before we begin, let's hear from you...



Who is currently serving as an Independent Director?

Please type 'yes' or 'no' in the chat box



1. How many Boards you currently serve on?
 2. Share your experience so far as Independent Director, if any
-



1. What is your biggest concern about becoming an Independent Director?
-

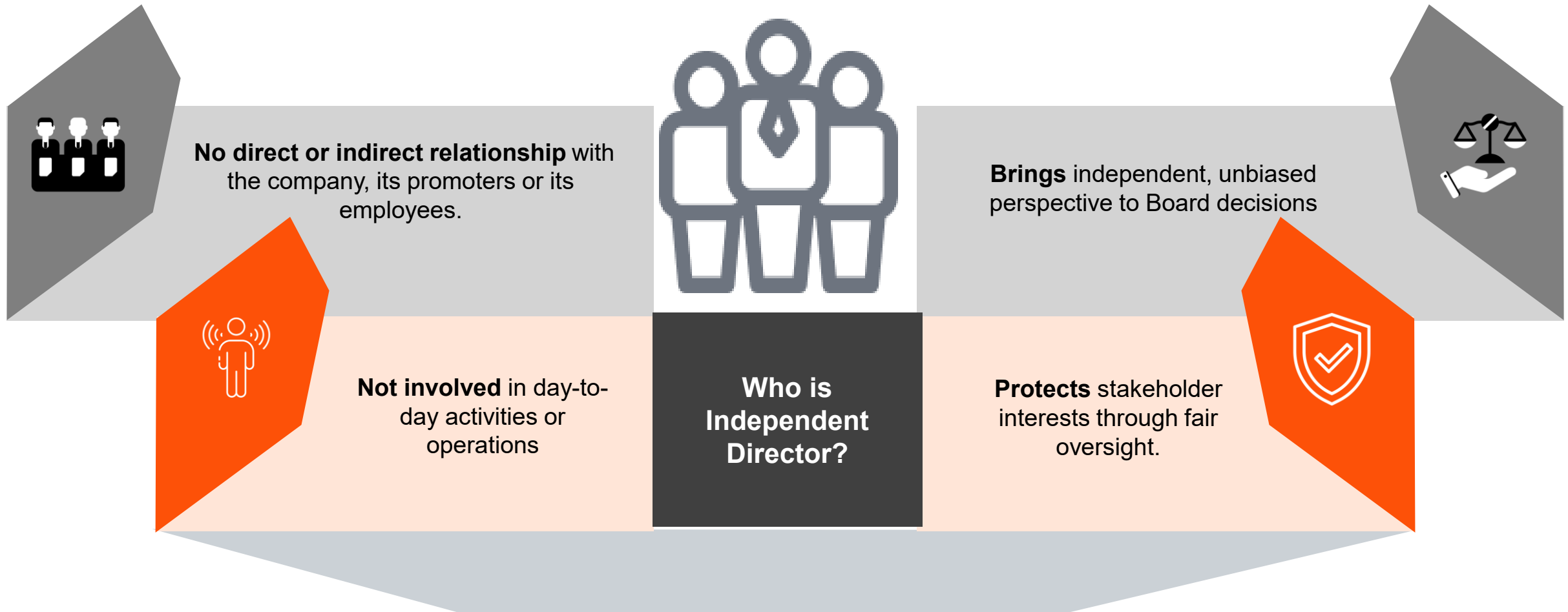
Independent Directors

The Backbone of Board Independence

Section 1



Independent Director – The Guardian of Governance



*Independent directors redefine governance as **credibility**, not just **compliance**.*

Roles and Challenges

...



Why Independent Directors are critical for Board?

Across global markets, Independent Directors are **essential** as organizations today operate in :

Highly **regulated environments**

Complex **financial** and **digital ecosystems**

High **reputational** and **ESG pressure**

Independent Director's presence strengthens governance by:



01

Building stronger board credibility and stakeholder confidence through visibly independent oversight



02

Elevating the quality, depth & objectivity of boardroom decisions by introducing unbiased perspectives



03

Actively identifying and preventing conflicts of interest before they compromise integrity



04

Lowering exposure to fraud, insider abuse and unethical behavior through strong checks and balances



05

Enabling sound long-term strategy and sustainable value creation beyond short-term performance pressures

What is the biggest **challenge** Independent Directors face today and why (in one line)? _____ ...



Information?



Liability?



Influence?



Something else?

Independent Director – Key Challenges & Board-Level Safeguards

Challenges Faced



Information Asymmetry & Selective Disclosure



Promoter Dominance & Erosion of True Independence



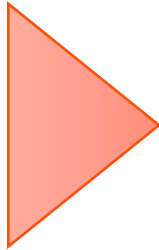
High Legal, Regulatory & Personal liability Risk



Limited Understanding of Technology, Cyber & AI Risks



Weak Whistleblower & Ethics Oversight



Board-Level Recommendations

- **Mandatory early circulation** of detailed board papers
- **Direct access** to Internal Audit, Statutory Auditors etc.
- **Real-time** board-level risk & compliance dashboards

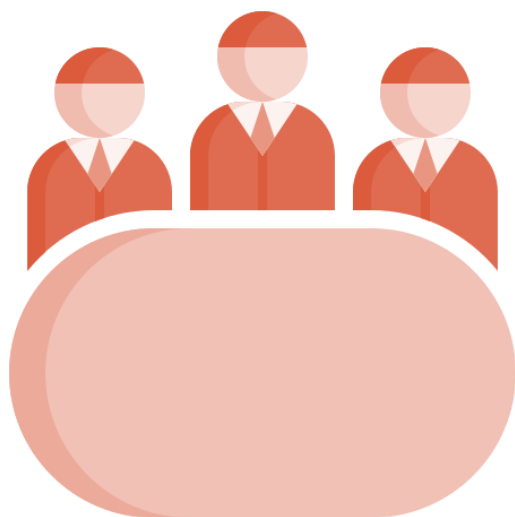
- **Strong & truly independent** Audit Committee & NRC
- **Mandatory recording** of dissent in board minutes
- **Periodic closed-door** meetings of IDs only

- **High-coverage** D&O insurance and indemnity deeds
- Annual legal & regulatory liability **training**
- **Reliance** on independent expert opinions documented in minutes

- **Mandatory** annual cyber & AI governance **training**
- **Induction** of at least one Tech/Cyber expert as ID
- **Periodic** cyber incident and data breach simulation at board level

- **Audit Committee ownership** of whistleblower & ethics oversight with regular Board updates
- **Independent reporting channels** with no-retaliation safeguards
- **Periodic Board review** of effectiveness, trends and closure of cases

A Comparison between Director and Independent Director



Parameters	Director (Executive/ Non-executive)	Independent Director
Relationship with the Company	Has Material relationship (Employment, Promoter-Linkage)	No direct or indirect relationship with the company, its promoters or its employees
Primary Role	Drive business performance and execution of strategy	Safeguard governance, fairness and stakeholders' interest
Operational Involvement	High, as they are involved in day-to-day operations or strategic execution	Not involved in day-to-day operations . Have oversight role only
Decision- Making Style	Participatory and execution-oriented	Oversight-driven, Questioning-oriented
Information Access	Direct, continuous and detailed	Dependent on management disclosures and Board documents
Risk Exposure	Regulatory risk due to high execution role	Regulatory risk despite no execution role
Fraud/Compliance Failures	Direct Accountability due to execution role	Held accountable for “failure of oversight”
Remuneration	Salary, Bonus, ESOPS, commission	Sitting Fees and Commission

Independent Director – Key Factors before joining the Company as ID



Now, imagine you have received an offer to join a company as an Independent Director.

What do you consider before you join the company as an Independent Director?

Please rank the factors most important for you from 1 to 3, where :
1 = Most Important
3 = Important

Regulatory Framework for Independent Directors

Section 2



Eligibility Criteria ...



Understanding Eligibility Criteria: *Three Key Aspects*



Level 1

Prerequisites of appointment as ID



Level 2

Soft Skills & Personal Attributes

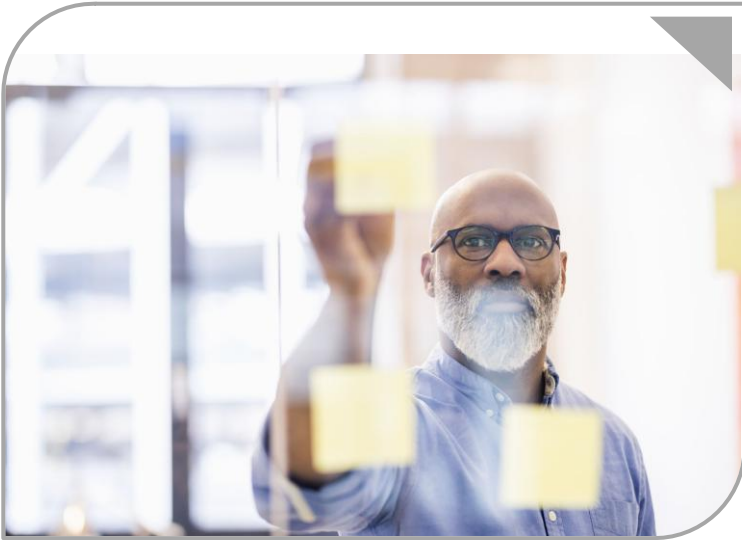


Level 3

Technical & Regulatory Criteria

Independent Director – Legal & Personal Criteria

Level 1 - Prerequisites of appointment as ID

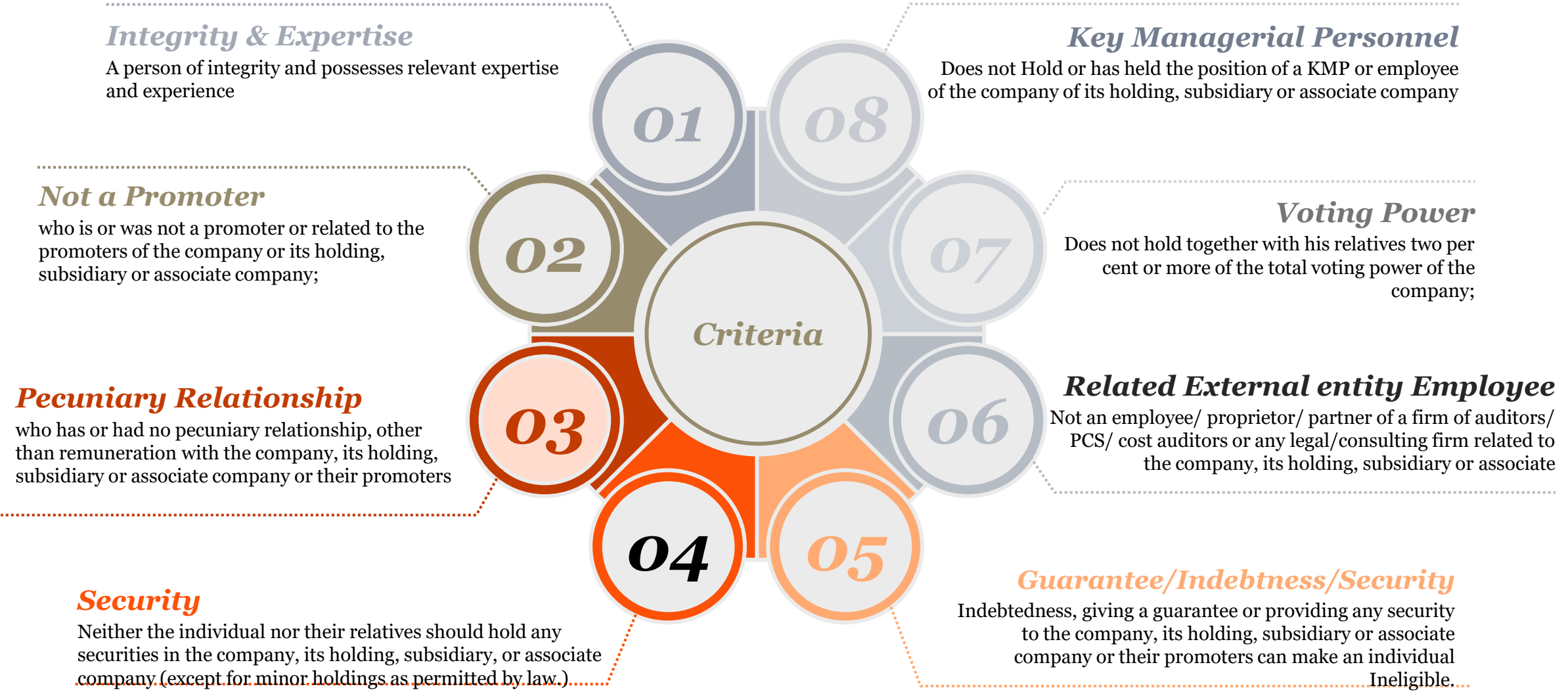


- Confirmation that the identity of a Director is Verified.
- Not disqualified to act as Director of the Company.
- Not exceeding the prescribed limit on the number of directorships.
- Registration in the independent directors' databank and passing the proficiency test (if required).
- Must give a declaration that they meet the criteria of independence.

Level 2 - Soft Skills & Personal Attributes



Independent Director – Level 3 - Technical & Regulatory Criteria



Note: The 2026 amendment expands the cooling-off period restrictions for Independent Directors by extending them to cover not only the company itself but also its holding, subsidiary, and associate companies.

Boardroom Scenario – Which of the below mentioned scenarios will impact independence of Mr. A

Mr A has a :

1

Association with a group company

Is a close relative of the promoters.

2

Serves simultaneously on boards of companies with cross-holdings

3

He holds more than 2% of the voting power in the Company himself

4

Correct Answer: ALL

Terms & Appointments ...

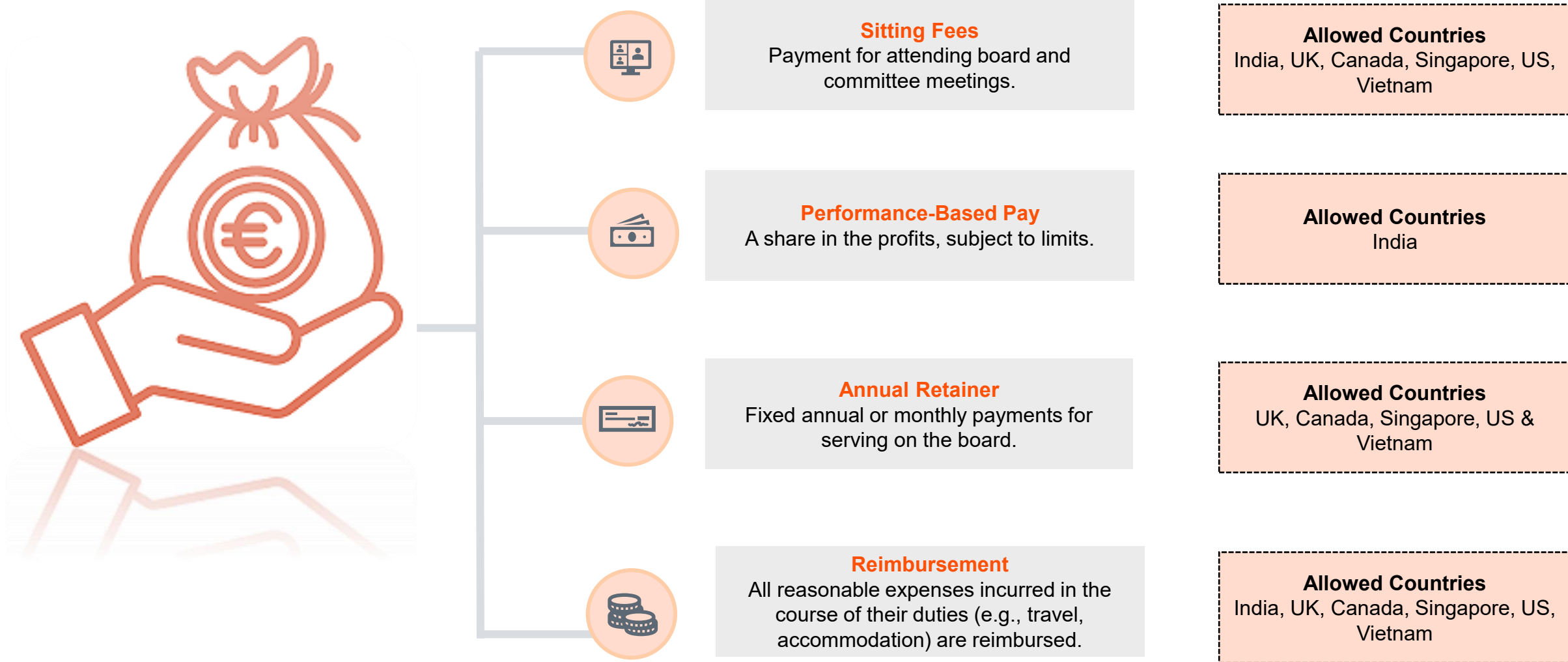
Independent Director's Terms across Jurisdictions

	 India	 United Kingdom	 Vietnam	 Singapore	 Canada
Minimum number of ID	- Listed – 1/3rd - Other Eligible entities – 2 Directors (min)	At least ½ of the board, excluding the chair.	Should have at least 1/3rd ID in Board	A majority of the Board shall be IDs (where the Chairman is not ID)	A majority of the Board shall be IDs
Tenure	5 Consecutive Years	9 Consecutive Years	9 Consecutive Years	9 Consecutive Years	9 Consecutive Years
Reappointment	5 Consecutive Years after passing Special Resolution	No	Perpetually barred from re-election as ID	Two-tier vote Approval*	No
Regulation for Senior ID	No	Yes	Yes	Yes	Lead Director
Member of Committees	AC, NRC, SMC, CSR, RMC	AC, NRC	AC, NRC, RMC, CGNR	AC, EC, NRC, RC	AC, HRC, GSC, RC

**requiring approval by the majority of (i) all SH, and (ii) all Shareholders excluding shareholders who also serve as directors or the CEO (and their associates)

Salary & Perquisites ...

Inside the Pay Package of an Independent Director



Invisible Rewards of IDs – Beyond Monetary Compensation



1

Reputational Capital

- Enhances credibility, integrity & governance stature
- Strengthens personal brand & increases acceptability with regulators, investors, lenders & other boards.

2

Access to Strategic Decision-Making

- Exposure to high-impact boardroom decisions such as capital allocation, M&A, digital transformation, ESG strategy & crisis management
 - Leading to deep strategic learning & intellectual enrichment.

3

Influence Without Operational Burden

- Ability to shape ethics, risk appetite & long-term value creation without day-to-day execution responsibility
- Freedom to question & dissent without hierarchical constraints.

4

Elite Network Capital

- Access to promoters, global investors, regulators, bankers, industry leaders & senior board peers, creating long-term professional & advisory opportunities.

5

Thought Leadership & Public Standing

- Increased visibility as a governance expert through speaking engagements, panel discussions, media interactions & academic or policy involvement



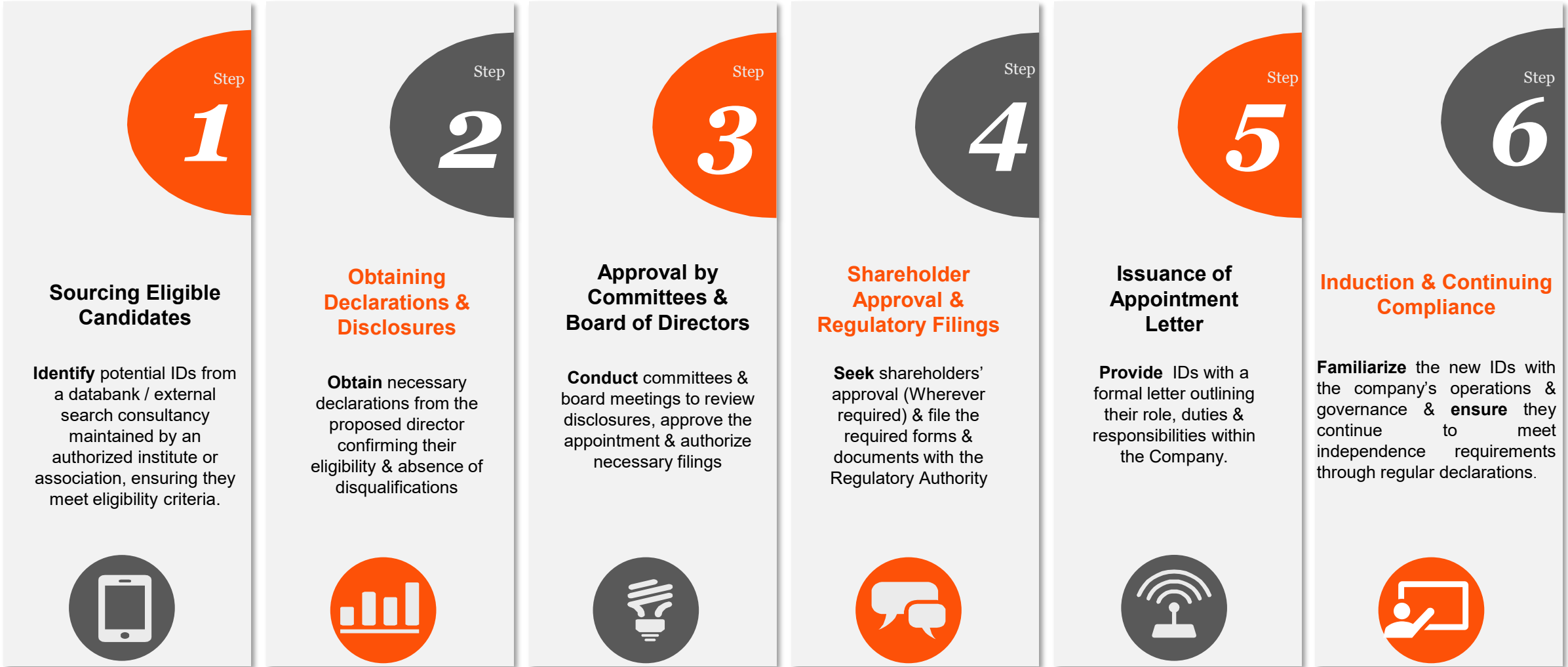
Which reward matters **MOST** to you in the long-term and why?

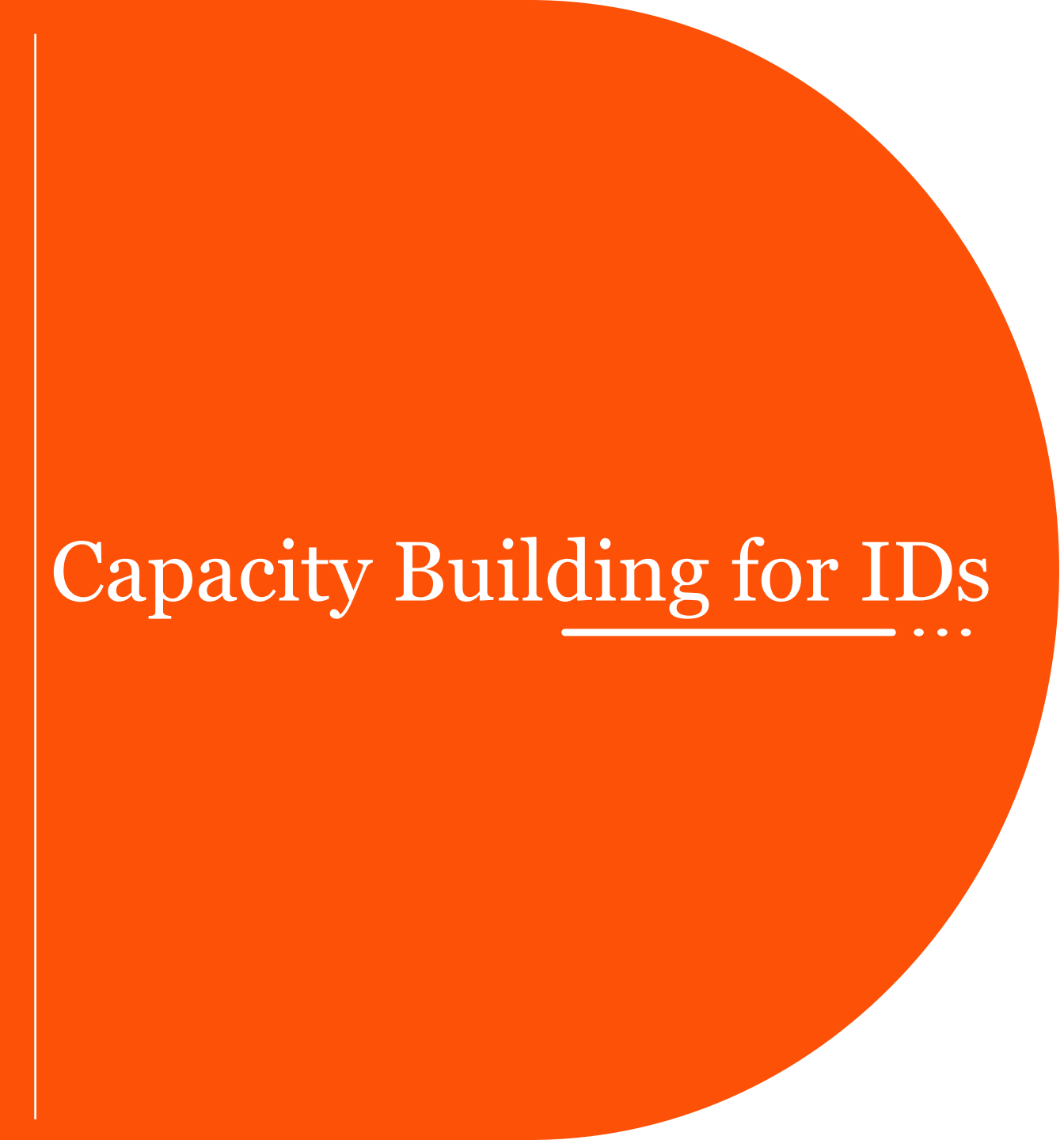
Enrollment Procedure ...



Independent Director – Appointment Process

The procedure for appointing Independent Directors is largely similar to that of appointing auditors, beginning with identifying suitable candidates, verifying their eligibility and obtaining approvals from the Board and shareholders.



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Capacity Building for IDs ...

Familiarization Programmes of IDs in India



India have a defined regulatory framework mandating training of IDs , while in other major countries such training is not expressly mandated by regulation, still management of the Companies in other countries can initiate structured training programmes of IDs as a good governance practice.

Objective

- Familiarize with the company's **business, strategy, risks & governance**
- Enable **effective oversight, informed decisions & independent judgement**
- Ensure alignment with **regulatory & fiduciary responsibilities**

Key Focus Areas

- **Business & Structure:** Core operations, group structure & operating model
- **Strategy & Risk:** Strategic priorities, material risks & ESG considerations
- **Governance:** Board composition, committee structure & governance policies
- **Financials:** Financial performance, capital deployment & value drivers
- **Compliance:** Applicable laws, regulations & compliance environment

Implementation

- Delivered through **structured sessions, familiarization & digital learning platforms**
- Designed as a **continuous & evolving programme**, rather than a one-time induction

*Related Party Transactions
Oversight
Independent Director's Critical Role*

Section 3





Critical Role of Independent Directors in RPT oversight

Independent Directors serve as the **first and most important line of defense** against misuse of company resources and promoter influence by:

Ensuring arm's-length pricing & fairness through market benchmarking



Questioning business rationale & necessity of each transaction



Uncovering hidden conflicts & indirect interests



Preventing fund diversion & profit shifting



Protecting minority shareholders' & long-term value



RPT Oversight – Warm up Round

Q1- If a **promoter's family entity** is involved in a transaction, what should an ID be careful about?

Q2- When an **RPT looks urgent and is pushed for quick approval**, what should an ID do?

Q3 - If **pricing, valuation or benchmarking** is missing, what is the safe action for an ID?

Q4- What is one way an ID **can protect minority shareholders** during RPT approvals?

Q5 -If a promoter informally asks an ID to **“support”** a transaction, what should the ID rely on?

Q6- Why it is important to compare **RPT pricing** with **market rates**?





Suggested Answers for Warm up Round



Q1- If a promoter's family entity is involved in a transaction, what should an ID be careful about?

Ans - Possible conflict of interest or terms favoring the related entity.



Q2- When an RPT looks urgent and is pushed for quick approval, what should an ID do?

Ans - Ask for complete documentation and justification before approving.



Q3 - If pricing, valuation, or benchmarking is missing, what is the safe action for an ID?

Ans: Request independent valuation or market benchmarking.



Q4- What is one way an ID can protect minority shareholders during RPT approvals?

Ans - Ensure fair pricing and genuine business rationale before agreeing.



Q5 -If a promoter informally asks an ID to "support" a transaction, what should the ID rely on?

Ans: Their independent judgment and the merits of the transaction.



Q6- Why it is important to compare RPT pricing with market rates?

Ans: To confirm the deal is arm's length and not causing value leakage.

Practical World
Independent Director's Critical Role

Section 4



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Independent Directors:

Where Oversight Succeeds

Moral Courage & Constructive Dissent

Willingness to challenge promoters and management, say “no” when required and record dissent for the company’s long-term interest



Independent Thinking

Ability to look beyond management narratives, avoid groupthink & bring external perspectives & benchmarks into board discussions



Deep Preparation & Analytical Rigour

Thorough understanding of board papers, financials, risks & assumptions, leading to higher-quality decisions & oversight



Key Traits of Award-Winning Independent Directors

(That created real-value for their organization)

Balanced Challenge with Trust

Constructively questioning management while maintaining credibility, respect & open communication in the boardroom



Long-Term Value & Stakeholder Focus

Prioritizing sustainable growth, minority shareholder protection, ESG considerations & resilience over short-term results



Crisis Leadership & Sound Judgment

Calm, decisive leadership during crises (regulatory, cyber, financial or reputational), ensuring transparency & accountability



IDs Oversight Success: A Major IT Industry Player



Facts

- Anonymous **whistleblower complaints (2019)** alleging ethical and accounting improprieties & the treasury policy requesting SEBI & SEC to investigate as well.
- The allegations were further extended to the personal matters of CEO including his payments, travel and bonuses received.
- The issues raised reputational and investor confidence risks, with founders publicly criticizing corporate governance.



Action Taken by IDs

- Audit Committee (led by **Independent Directors**) took direct charge.
- Appointed **independent external legal & forensic experts**
- Ensured management had **no influence** over the investigation
- Followed due process and made timely regulatory disclosures



Outcome

- Allegations found **unsubstantiated** after independent investigation
- Governance credibility and investor trust restored
- The company's audit report for that period received an unmodified opinion from the auditors.
- The case recognized globally as a **positive example of board independence**.

Key Learnings

*Independent Directors add **maximum value** during crises by standing firm on process, evidence and transparency.*

Thank you

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